Commenters on the Fund Investor Experience RFC stated that shareholders believe the information provided in the current shareholder report expense example is important because it helps them understand the costs associated with investing in the fund.[144] The proposed expense information is intended to reflect shareholders' preferences to understand fee and expense information, while simplifying the expense example that currently appears in funds' shareholder reports.

Funds' shareholder reports currently include an expense example consisting of two different tables.[145]

- The first table shows the actual cost in dollars for a $1,000 investment in the fund over the prior six-month period based on the actual return of the fund. This presentation is intended to help a shareholder calculate the actual ongoing fund expenses, in dollars, that he or she has incurred.
- The second table shows the cost in dollars for a $1,000 investment in the fund over the prior six-month period based on a hypothetical 5% annual return (and not, as for the first table, the actual return of the fund during that period). Because funds are required to use the same hypothetical annual return in calculating their expenses here, this

---

144 *See, e.g.*, ICI Comment Letter I (stating that the information provided in the current expense example is responsive to investors' keen interest in knowing how much it will cost them to invest in a fund); *see also* Capital Group Comment Letter (noting that the current expense example provides investors with information on the cost of their investments).

145 *See* Item 27(d)(1) of Form N-1A. The instructions to this item require a fund to calculate the expense example using a fund's expense ratio for the preceding six months and not to include the impact of sales loads, if any.

second table is designed to help shareholders compare the expenses of their fund with those of other funds.[146]

Currently, the fund expenses presented in the shareholder report expense examples are different in several respects from those in the prospectus fee table and example. The shareholder report example is derived from a fund's financial statements and therefore reflects actual historical expenses that a shareholder incurred over the past year (*i.e.*, backwards-looking expenses). The prospectus example, on the other hand, reflects hypothetical future expenses (*i.e.,* forward-looking expenses).[147] Currently, the prospectus fee table also reflects sales loads that an investor would pay and the expenses associated with the fund's investments in another fund (referred to as Acquired Fund Fees and Expenses ("AFFE")), whereas the shareholder report expense presentation does not, because these elements are not reflected in the fund's financial statements.[148] Additionally, unlike the shareholder report example, the prospectus fee table must reflect any material changes in fees that occurred since the prior fiscal year and cannot reflect certain fee waivers.[149]

---

146 The first table does not permit a direct comparison of fund costs because positive performance would make fund expenses expressed as a dollar amount higher and negative performance would make fund expenses expressed as a dollar amount lower. So, for example, if two funds had the same fees, the fund with the better performance would appear more expensive. *See* February 2004 Shareholder Report Adopting Release, *supra* footnote 83.

147 *See* February 2004 Shareholder Report Adopting Release, *supra* footnote 83, at text following n.96.

148 *See* Item 27(d)(1) of Form N-1A; *see also* Section II.H.1.g (discussing proposed changes to the disclosure requirements for AFFE in fund prospectuses, which would permit funds that invest 10% or less of their total assets in acquired funds to omit the AFFE line item in the fee table and instead disclose the amount of the fund's AFFE in a footnote to the fee table).

149 *See* Instruction 3(d)(ii) and 3(e) of Item 3 of Form N-1A (prohibiting a fund from reflecting fee waivers unless they reduce the fund's operating expenses for no less than one year from the effective date of the fund's prospectus).

The information about fund expenses that we are proposing funds include in the annual report is designed to simplify the expense example that currently appears in funds' shareholder reports, and to provide shareholders with additional tools to understand the expenses they paid during the prior fiscal year. The proposal would replace the two current expense examples in the shareholder report with one simplified expense table. The new table would vary from the current disclosures in several respects. First, under the proposal, funds would have to provide the expenses associated with a $10,000 investment in the fund, rather than the current $1,000 investment amount.[150] We are proposing to increase the dollar value because we believe that $10,000 is a more realistic investment amount for an individual shareholder today.[151] Additionally, because Form N-1A requires funds to use an assumed $10,000 investment for the expense presentation in the prospectus, the proposal would align this aspect of the two expense presentations and promote a more consistent disclosure experience for investors.[152] Similarly, we are proposing to align the rounding conventions of the expense presentations in the shareholder report with those of the prospectus.[153]

---

150 *See* proposed Item 27A(c) of Form N-1A.

151 *See* Registration Form Used by Open-End Management Investment Companies, Investment Company Act Release No. 23064 (Mar. 13, 1998) [63 FR 13916 (Mar. 23, 1998] ("1998 Form N-1A Prospectus Amendments"), at n.74 and accompanying text (increasing the hypothetical investment to $10,000 in the prospectus example presentation because the Commission recognized that the typical fund investment was increasing in size). Because we are proposing to raise the hypothetical investment amount to $10,000, we are also proposing to similarly raise the required rounding conventions for dollar values in the table to the nearest dollar, rather than the nearest cent.

152 *But see supra* footnotes 147 through 149 and accompanying text (discussing the key differences between the presentation of expense information in the prospectus and the shareholder report).

153 *See* proposed Instruction 1(a) of Item 27A(c) of Form N-1A (requiring all percentages in the table to be rounded to the nearest hundredth of one percent and all dollar figures in the table to

Furthermore, funds would no longer be required to show the total amount of expenses along with hypothetical return information for the period. Instead, funds would continue to provide expense information along with actual return information, with amendments to this presentation of expenses that we believe would help show shareholders how much of their money was actually invested in the market (versus how much of their money was paid for fees and expenses).[154] Like the current expense presentation, the proposed presentation would show an assumed beginning account value, an ending account value, and expenses paid during the period. However, rather than only requiring funds to disclose the ending account value net of fees (as they do today), we are proposing to require funds to disaggregate this amount. Funds would individually disclose: (1) the costs paid during the period, (2) the fund's total return during the period before costs were paid, and (3) the ending account value based on the fund's net asset value return. A fund would have to provide each of these figures as a mathematical expression (using "+", "-", and "=" signs), as shown in the example above.[155] Costs would have to be expressed as a negative amount (with a "-" sign preceding the cost amount), and total return, if negative during the period, also would have to be expressed as a negative amount with a "-" sign preceding it. Conversely, if the fund's total return were positive during the period, it would be preceded by a "+" sign.

---

be rounded to the nearest dollar).

154 The expense example in the annual report would provide expense information that covers a 12-month reporting period.

155 *See* proposed Instructions 1(b) of Item 27A(c) of Form N-1A ("Provide the amounts in each of the columns as a mathematical expression, as appropriate (*i.e.*, include +, - and = symbols). Costs paid during the period must be expressed as a negative amount. Total return, if negative during the period, must be expressed as a negative amount.").

We believe that this presentation would facilitate a shareholder's understanding of how costs and performance affect his or her ending account value. Fund fees and expenses are central information for shareholders because they can significantly affect a fund's investment returns over time.[156] We recognize that shareholders could benefit from additional transparency into the costs associated with investing in the fund. However, while some of these costs are fixed and easily quantifiable, others are variable and can be difficult to calculate.[157]

The proposed presentation is designed to help investors evaluate these costs by disclosing costs directly deducted from the fund's assets alongside the fund's return. The fund's return will reflect these costs as well as any performance expenses associated with the fund's portfolio management activities (such as the fund's securities lending activities and transaction costs associated with the fund purchasing and selling portfolio investments). Similarly, some fund expenses are paid directly as fees for investing in the fund, while others are performance expenses associated with the fund's portfolio management activities. We

---

156 *See* Fund Investor Experience RFC, *supra* footnote 8, at text accompanying n. 36. Some commenters on the Fund Investor Experience RFC expressed concern that fund disclosure may not accurately represent the full costs associated with a fund investment. *See, e.g.*, Delmonte Comment Letter; Fowler Comment Letter; Blanchard Comment Letter.

157 For example, some commenters on the Fund Investor Experience RFC discussed challenges associated with disclosing transaction costs, including a potential negative impact on investors' ability to understand fund costs. *See, e.g.*, ICI Comment Letter I; Comment Letter of BlackRock, Inc. (Oct. 31, 2018) ("BlackRock Comment Letter"). Based on experience in certain jurisdictions that require transaction cost disclosure, these commenters indicated that transaction cost disclosure can confuse or mislead investors—including through reported transaction costs of zero or negative amounts in some instances in those jurisdictions—because funds may use different calculation methods and certain calculation inputs are subjective in nature. *See* ICI Comment Letter I; *see also* Slippage Causes Confusion in MiFID II Fund Rules Row, Chris Flood, Financial Times (Jan. 26, 2018), *available at* https://www.ft.com/content/7b37016a-00fc-11e8-9650-9c0ad2d7c5b5.

believe it is important for shareholders to appreciate fully the costs they pay to invest in a fund, and how performance expenses affect the fund's investment return. We also are proposing to require that funds qualitatively describe, in a footnote to the example, any of these performance expenses that are material as discussed below. We are not proposing to require a similar presentation based on hypothetical performance, because we believe that the primary purpose of a shareholder report is to provide shareholders with actual information about the fund's performance and expenses over the past year or half-year period.[158]

We also are proposing certain ETF-specific disclosures that would provide shareholders more transparency into the unique cost structure of an ETF. Under our proposal, an ETF would be required to disclose two versions of the ending account value, one based on the ETF's net asset value return and the other based on its market value return.[159] This proposed requirement is designed to allow shareholders to understand any difference between the ETF's performance and market price, and to highlight for shareholders the indirect costs associated with investing in an ETF, including commissions and premium/discount costs.[160]

---

158 *See supra* footnote 147 and accompanying text. While the current expense example based on a hypothetical 5% annual return was designed to help shareholders compare the expenses of their fund with those of other funds, we believe that the proposed requirement to present expense information as a percentage as well as a dollar amount also would provide this comparative value. *See supra* footnote 146 and accompanying text; *infra* paragraph accompanying footnote 161.

159 We are also proposing conforming changes to Item 13(a) of Form N-1A to incorporate the requirement for ETFs to disclose total return based on the ETF's per share market value return in the financial highlights. *See* proposed amendments to General Instruction 3 of Item 13(a) of Form N-1A.

160 *See* proposed General Instruction 1(i)(*i*) of Item 27A(c) of Form N-1A. We also are proposing to maintain the current instructions specific to ETFs, including the requirement to state that investors may pay brokerage commissions on their purchases and sales of ETF shares, which are not reflected in the expense table, as well as the requirement to exclude any fees charged for the purchase and redemption of the ETF's creation units. *See* proposed General Instruction 1(i)(*ii*) and 1(i)(*iii*) of Item 27A of Form N-1A.

Unlike the current expense presentation, we are proposing to require funds to present expense information in two formats: (1) as a dollar amount, as discussed above; and (2) as a percentage of a shareholder's investment in the fund (which would be a new addition to the current presentation). We believe that requiring two formats would provide shareholders with a more complete understanding of the expenses associated with their investments. The proposed new percentage-based expense information is designed to provide shareholders with a basis for comparing the level of current period expenses of different funds (as percentages are comparable). This addition would complement the dollar-based expense presentation, which is designed to permit shareholders to estimate the costs, in dollars, that they incurred over the reporting period. We are also proposing to require funds to give the expense columns (*i.e.*, the "costs paid" and "costs paid as a percentage of your investment" columns) of the table more prominence than the remainder of the expense table to draw the attention of investors to these important data points. Funds would have flexibility to use various text and table features to satisfy this requirement.[161]

We also are proposing several modifications to simplify other aspects of the required expense disclosure. First, we are proposing to remove the currently required narrative preamble to the expense table in its entirety.[162] As a replacement for this preamble, we are

---

[161] *See* proposed General Instruction 1(c) of Item 27A(c) of Form N-1A (providing flexibility for funds to use, for example, graphics, larger font size, different border width or column shading, or different colors or font styles to satisfy this prominence requirement).

[162] Currently, a fund must precede the expense example with a narrative preamble explaining that the purpose of the expense example disclosure is to help shareholders understand the ongoing costs of investing in the fund and to compare those costs with the ongoing costs of investing in other mutual funds. The preamble defines ongoing costs as fund expenses, including management fees and distribution [and/or service] (12b-1) fees. *See* Item 27(d)(1) of Form N-

proposing certain specified brief required footnotes to the table.[163] We believe that the simplified expense table, along with the footnotes to the table that we would require funds to include, would provide shareholders with the most relevant information from the lengthy preamble that currently precedes the expense example.

First, a fund would be required to include a footnote to the "total return before costs paid" column that qualitatively describes, in plain English, other costs that are included in the fund's total return, if material to the fund. For example, if applicable, the fund should explain that total return includes fund investment transaction costs, securities lending costs, or AFFE, and that these costs materially reduced the fund's return.[164] We believe that requiring this qualitative discussion would give funds the opportunity to describe certain expenses that may be difficult to calculate, but that materially affect fund performance. Also, by requiring funds to describe these types of performance expenses in a footnote, while including the direct costs of the fund in the expense example, shareholders might be better able to appreciate the fact that the costs associated with their investment include both fixed costs and indirect variable costs.

Furthermore, a fund would be required to briefly explain, in plain English, in a footnote to the "Costs paid as a percentage of your investment" column that the expense information does not reflect shareholder transaction costs associated with purchasing or

---

1A.

[163] *See* footnotes to the expense example in proposed Item 27A(c).

[164] *See* Instruction 1(f) to proposed Item 27A(c)

selling fund shares.[165] This would draw investor attention to the fact that there may be additional costs not reflected in the expense example, if applicable. Finally, if a fund's shareholder report covers a period of time that is less than a full reporting year, the fund would be required to include a footnote to the table noting this and explaining that expenses for a full reporting period would be higher than the figures shown.[166]

We also are proposing certain modifications to the instructions associated with the computation of fund expenses to reflect the proposed changes to the expense example. We are proposing an instruction that would direct funds to calculate "Costs paid" by multiplying the figure in the "Cost paid as a percentage of your investment" column by the average account value over the period based on an investment of $10,000 at the beginning of the period.[167] The figure in the "Cost paid as a percentage of your investment" column, in turn, would be the fund's expense ratio as it appears in the fund's most recent audited financial statements or financial highlights.[168] The figure in the "Ending account value (based on net asset value return)" column would similarly be derived from figures in the fund's audited financial statements or financial highlights. To calculate this figure, the fund would multiply $10,000 by the fund's net asset value return as it appears in the fund's most recent audited financial

---

165 *See* Instruction 1(g) to proposed Item 27A(c). Funds would not be required to disclose the amount of such fees.

166 *See* Instruction 1(i) to proposed Item 27A(c). This would generally apply to newly formed funds that are required to file an annual or semi-annual report for a period less than the reporting period.

167 *See* Instruction 2(a) to proposed Item 27A(c) of Form N-1A.

168 *See* proposed Instruction 2(c). In the semi-annual report, the fund's expense ratio would be calculated in the manner required by Instruction 4(b) to Item 13(a) of Form N-1A, using the expenses for the fund's most recent fiscal half-year. *Id.*

statements or financial highlights.[169] The figure in the "Total return before costs paid" column would be calculated by subtracting $10,000 (the figure in the "Beginning account value" column) and the figure in the "Costs paid" column from the "Ending account value (based on net asset value return)" column.[170] Additionally, for ETFs we are proposing an instruction for how an ETF should calculate the ETF's ending account based on market value return.[171]

We are proposing to maintain certain of the current instructions that we believe would continue to provide useful information to shareholders. If a fund incurred any "extraordinary expenses" during the reporting period, we are proposing to continue to allow the fund to briefly describe, in a footnote to the expense table, what the actual expenses would have been if these extraordinary expenses were not incurred.[172] Similarly, if a fund is a feeder fund, we are proposing to continue to allow that fund to reflect the aggregate expenses of the feeder

---

169 *See* proposed Instruction 2(e). In the semi-annual report, the fund's ending account value would be calculated in the manner required by Instruction 3 to Item 13(a) of Form N-1A. *Id.*

170 *See* proposed Instruction 2(d) of Item 27A(c) of Form N-1A.

171 *See* proposed Instruction 2(f) of Item 27A(c) of Form N-1A (requiring funds to multiply $10,000 by the fund's market value return). In an ETF's annual report, an ETF would be required to use the market value return as it appears in the ETF's most recent audited financial statements or financial highlights in its calculations. In the semi-annual report, the fund's market value return should be calculated in the manner required by Instruction 3 to Item 13(a) of Form N-1A. *Id.*

172 *See* Instruction 1(k) to proposed Item 27A(c) of Form N-1A (defining "extraordinary expenses" as "expenses that are distinguished by their unusual nature and by the infrequency of their occurrence. Unusual nature means the expense has a high degree of abnormality and is clearly unrelated to, or only incidentally related to, the ordinary and typical activities of the Fund, taking into account the environment in which the Fund operates. Infrequency of occurrence means the expense is not reasonably expected to recur in the foreseeable future, taking into consideration the environment in which the Fund operates. The environment of a Fund includes such factors as the characteristics of the industry or industries in which it operates, the geographical location of its operations, and the nature and extent of government regulation"); *see also* Instruction 2(a)(ii) to Item 27(d) of Form N-1A.